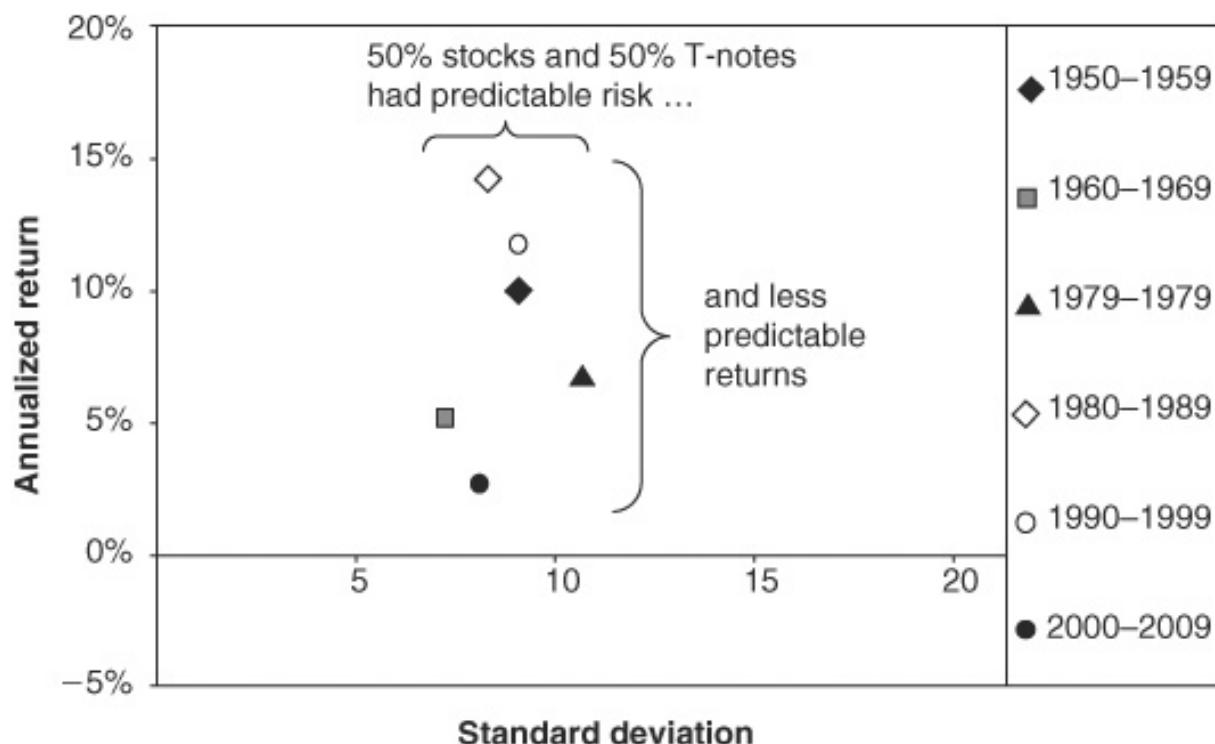




ASSET ALLOCATION IS NOT INFALLIBLE

You may find negatively correlated asset classes in your search for investments. But that is not the only reason to invest in that asset class. Every investment in your portfolio should be expected to earn a positive return over inflation in the long term. Consequently, an asset class that has negative correlation is of little use if the returns are at or below inflation, and you should discard it and move on. A negatively correlated investment may lower overall portfolio risk, but if it also lowers your portfolio returns, that is not a good thing in the long term. You cannot eat lower risk.

Here is the bottom line. It is basically impossible to find two negatively correlated asset classes that both earn positive returns over inflation. That being said, it may be possible to find a few asset classes that are noncorrelated with each other, and at least have enough varying correlation so that there is relatively low correlation on average during most 10-year periods.

A well-diversified portfolio includes several investments with varying correlations (see [Part Two](#) for details on investment selection). Some of those investments will be moving out of sync with the rest of the portfolio, while others are moving together. No one knows when any particular